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UNIT I FUNDAMENTALS OF BUSINESS

CHAPTER 2 OBJECTIVES OF BUSINESS

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Learning Objectives

To enable the students to

i. know the meaning of human activities and its kinds
ii. learn the Economic Vs Non-Economic Activities
iii. know the types of Economic Activities Employment, Profession and Business
iv. understand the concept of business
v. explain the characteristics of business activities
vi. analyse the objectives of business
vii. elucidate the comparison of business, profession and employment



2.01 Introduction

Human Activities

Human activity is an activity performed by a human being to meet his/her needs and wants or may be for personal satisfaction. Human activities can be categorised into economic and non-economic activities. The chart below gives a snapshot of human activities.

I. Economic Activities

Activities undertaken with the object of earning money are called economic activities.

Examples:

i. Production of goods by manufacturers
ii. Distribution of goods by wholesalers
iii. Selling by retailers
iv. Medical advice rendered by physicians
v. Accounting practice by chartered accountants

II.Non-Economic Activities

Activities undertaken to satisfy social and psychological needs are called non-economic activities.

Examples:

i. Cooking food for family
ii. Celebrating festivals